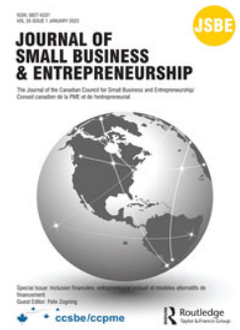

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Félix Zogning

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EDITORIAL

Financial inclusion, inclusive entrepreneurship, and alternative financing options

Introduction

Financial inclusion is a key economic objective for many countries, particularly developing countries, where research findings agree that financial inclusion is directly linked to poverty. According to the World Bank, financial inclusion, which refers to broad access to financial services, is defined as the absence of tariff or non-tariff barriers to the use of financial services.

This question remains a priority and is included in the means to achieve nearly half of the sustainable development objectives of the United Nations, especially since traditional banking methods to address financial inclusion in developing countries are not working effectively (Isukul and Tantua 2021). Even more importantly, the social advancement and reduction in income inequalities that financial inclusion is meant to reinforce, are still not present in many low-income countries. On the contrary, financial exclusion amplifies the already perceptible gender gap on the economic front: households headed by women are 8% less likely to access a formal account compared to their male counterparts, and female-headed businesses use 20% fewer loans than male-headed businesses in less developed countries (Ghosh and Vinod 2017).

Formal financial institutions have rigid and specific requirements, such as collateral and proof of residency, that women entrepreneurs are generally unlikely to meet. This is partly due to land or property rights, and cultural norms that discriminate against them. Another reason why women entrepreneurs face great difficulty in entering the formal financial network is the relationship between women entrepreneurs and bankers, which can suffer from stereotypes and discrimination. As a result, most women business owners largely depend on self-financing during the start-up period of their business. The financial exclusion of female entrepreneurs can deprive their businesses of means to take advantage of business opportunities, or to withstand systemic or business-specific shocks (Zogning 2021).

Many countries have concluded that supporting women entrepreneurs remains a vital issue and one way to do this is to guarantee their financial access and use of high-quality formal financial services. This is especially true given that female entrepreneurship is considered a common thread for economic and social transformation, because of the critical role that these entrepreneurs play at the household and community levels.

Financial inclusion and entrepreneurship

While economic and financial literature has sufficiently documented the rule of financial inclusion in the development of a sound and efficient financial system that facilitates economic growth, there is still little empirical work that explores the specific links between financial inclusion and entrepreneurial development, or that develops models to examine the effects of changes in financial inclusion on entrepreneurial activities. Most studies have largely focused on the effects of financial inclusion on growth, income inequality, or

poverty reduction through macroeconomic data. Yet, at the individual level, entrepreneurship has been shown to be a key vehicle for job creation and thus sustainable economic growth.

Financial inclusion can support entrepreneurial activities through a variety of channels, including reducing start-up costs for those without self-financing, by allowing established businesses to benefit from opportunities for expansion and by offering them a greater capacity for innovation. On the other hand, there is also evidence that inclusive financial measures such as microfinancing, have had little impact on the growth of micro-businesses in various contexts.

The findings of Fareed et al. (2017) from a study in Mexico suggest that financial inclusion is positively related to entrepreneurship and can lead to economic opportunities for women entrepreneurs. However, this positive relationship does not apply to women operating in the informal sector. This result is not surprising given that the degree of informality is strongly associated with the entrepreneur's ability to access financial services. In the same vein, Kede Ndouna and Zogning (2022) analysed the effect of access to financial products in reducing income inequalities between men and women working in the informal sector in Cameron. The empirical results show that there are still significant income inequalities between men and woman in the informal sector, and that these inequalities are largely due to the difference in access to credit, which is itself explained in 13.9% of cases by the gender difference. This means that when it comes to accessing credit, men are more financially included than women, and this advantage allows them to generate significantly higher incomes and more sustainable activities.

Ajide (2020) used a sample of 13 African countries to demonstrate how financial inclusion can foster entrepreneurial development. This follows on Wang and Tan (2017) who highlight the positive effect of financial inclusion on the entrepreneurial development of farmers, Fan and Zhang (2017) who empirically investigate the relationship between financial inclusion and entrepreneur training, or Goel and Madan (2019) whose work concludes that financial inclusion plays a major role in increasing the number of women in entrepreneurial activities, as financial inclusion can open up economic opportunities for women entrepreneurs in both the formal and informal sectors. Koloma (2021) argues that financial inclusion has the same beneficial effect on the level of entrepreneurial intention among youth, while noting three main barriers to financial inclusion for youth: the cost of financial services, a lack of money, and the perception that financial services such as savings are not a necessity.

In fact, this positive relationship between the level of financial inclusion and the development of entrepreneurial activity suffers from a counterexample. Matindike and Mago (2022) present a stark contrast in South Africa. While the country has a high rate of financial inclusion (over 70% of adults have an active bank account, among other things) the level of entrepreneurial activity remains proportionately low. Since financial inclusion refers in large part to access to financial services, the question of actual usage of these financial services should be raised, given that many South Africans use these accounts only in a transitive manner, withdrawing their entire paycheque at each pay date. This reality leads us to revisit the link between financial inclusion and increased entrepreneurial activity, and to question whether there are any moderating variables to this link.

This special issue brings together work that examines the links between financial inclusion or alternative financing options and different aspects of entrepreneurial activity.

Works in this special issue

This special issue includes six papers that cover different segments of the relationship between financial inclusion and economic growth, through to entrepreneurial development.

The article by Serge Francis Simen (*Perception des femmes entrepreneures face aux exigences de garanties des organismes de crédits au Sénégal: quelle influence des réseaux d'affaires*) examines how business networks help women entrepreneurs deal with the perennial issue of barriers to financing that they face. The author interviews twenty women entrepreneurs from three major cities in Senegal. Half of them had already received a formal loan and the other were refused financing for their activities. It comes as no surprise, the results suggest that these women entrepreneurs have a negative perception of formal loans from financial institutions, due to high interest rates and the need for collateral is deemed significant. The most educated of these women were more likely to obtain formal financing and to have larger businesses. For the others, even if they applied for loans less often and negotiated for smaller amounts, they were refused twice as often as their male counterparts. Networking, whether formal or informal, is considered a way to access various resources and to overcome financing difficulties, particularly by learning from the experiences of other women and benefiting from advice and the sharing of good practices. Finally, the entrepreneurs interviewed seem to agree that formal networks, such as mutual insurance companies, do not help them much in accessing financing or in developing their businesses, and rely more on informal networks such as tontines.

Félix Ntep chose in his article (*Un cas du bricolage: le financement de la création de toutes petites entreprises par les femmes à Thiès*) to examine, not the behaviour of credit institutions in response to financing requests from women entrepreneurs, but rather the financial resources obtained from different financing resources. The author monitored the activity of 18 women entrepreneurs through various interviews and discussions, over a 5-month period. Two main groups emerged from this sample: a group of women aged 35 and under, whose motivation for starting a business was the search for autonomy; and another group of women aged 35 and over, who started a business more to help their husbands and increase the family income. While the women in the first group went first to formal institutions for funding and allocated the money directly to current needs, women in the second group were more likely to obtain funding through informal channels such as tontines, and usually took a little more time to decide on the final allocation of the money obtained. This implies that these financial resources are often used for purposes other than those that triggered the financing request. The older entrepreneurs preferred to be assisted in the decision-making process by their immediate family (spouse, brother, or sister) and to keep a record of financial information related to their business, while younger women preferred to surround themselves with people who could advise them on management. This leads the author to conclude that we are witnessing a case of DIY in financing of the creation and growth of these micro-enterprises.

It is known that financial exclusion is one of the characteristics of informality of enterprises, as well as their size, the lack of bookkeeping, the mobile nature of the place of business, the type of taxes they are subject to, or more simply their registration status, as conceptualized by Benjamin and Mbaye (2012). In this third article (*Effet de l'inclusion financière sur la formalisation des Petites et Moyennes Entreprises au Cameroun*), Faustine Kede Ndouna and Roger Tsafack Nanfosso re-examined the relationship between financial inclusion and the informal character of very small, small, and medium businesses. They find that financial inclusion significantly increases the likelihood of

firm formalization. The study also found that the likelihood of formalization increases by more than 5% if the business has access to many financial products or services. Certain financial products are more effective: having a savings account and access to credit increases the probability of formalization by 20% and by 11% respectively, while using Mobile Money tends to reduce the probability of formalization by 17.9%. The marginal effect of Mobile Money which is known to increase financial inclusion in developing countries, may seem counterintuitive in this study. However, it could well be explained by the fact that this electronic money instrument, which is increasingly used as a means of payment, is also for micro-enterprises a palliative opening and use of a traditional bank account, which is generally only available to registered businesses. In this context, having the facility to make financial transactions through the Mobile Money channel removes the constraint of having to register and then sign up for a current bank account.

The GSMA (***Global System for Mobile Communications)*** 2022 report indicates that the amount of money exchanged via Mobile Money has exceeded the $700 billion mark on the African continent. If this platform were to improve the level of financial inclusion of the underprivileged social strata, the authors of this fourth article *(Mobile money, bank deposit and perceived financial inclusion in Cameroon*) argue that Mobile Money would not only be an alternative means of payment and receipt of funds to the current bank account, but also would become an effective channel to suck up potential bank deposits. Arielle Ornela Ndassi Teutio, Jean Robert Kala Kamdjoug and Jean-Pierre Gueyié believe that such a volume of transactions reflects the potential for deposits that are not captured by banks and that connecting the two channels would allow informal sector operators to make deposits via Mobile Money, then benefit from a savings service, and solicit loans through this bank account. As evidence, the authors point to countries in East and West Africa where mobile money services are more connected to other credit, savings, and insurance services, and where the number of active accounts, the number of transactions and the amount of money exchanges are much higher than in Central Africa where Mobile Money is not yet connected to other financial services. The study shows that the intention of using Mobile Money to complete a bank deposit depends on the user's perceived cost, relative advantage, and perceived ubiquity. Thus, high banking costs could dampen interest in such a connection, while the convenience of depositing via Mobile Money rather than in a branch tends to be attractive, precisely because of the sense of proximity, mobility, and accessibility that it confers. The study concluded that the use of Mobile Money increases financial inclusion.

Author Dontsi demonstrated the link between the penetration of Mobile Money in developing countries and the economic growth of these countries. His article (*Les effets du système « mobile money » sur la croissance économique: le cas des pays de la CEMAC*) is based on the quantity theory of money and the endogenous growth theory to measure the impact of the use of Mobile Money on the evolution of the growth domestic product of countries of the Central African Economic and Monetary Community (CEMAC). Although this region has a much lower rate of Mobile Money use than other sub-Saharan African regions (less than 10% of the volume of transactions and sums transacted), the economic growth of the CEMAC zone is positively affected by the growth of Mobile Money. An increase in the usage rate of Mobile Money (number of active accounts compared to the number of accounts opened) of around 10% leads to an increase in the growth rate of around 1.87%. According to the author, this can be explained by the fact that Mobile Money not only allows disadvantaged populations to access electronic money, but also, significantly increases the velocity of money. The convenience that Mobile

Money provides facilitates the sale of products and encourages more production. Therefore, the author advocates for a policy of facilitating access to cell phones by rural populations.

Access by very small enterprises (VSE) to external financing during their start-up phase is likely to significantly affect their sustainability. This is the outcome reached by Léopold Djoutsa Wamba and Romuald Koye. Their article (*Accès aux financements externes et pérennité de la très petite entreprise: quelle évidence en temps de crise sécuritaire?*) investigates the survival of VSEs in the face of a security crisis, such as the one perpetrated by the Boko Haram sect. The authors explain that VSBs that receive external financing during their first years of existence tend to survive longer than those that rely solely on self-financing. However, this positive relationship between external financing and the sustainability of VSBs is drastically mitigated in a security crisis marked by repeated attacks by armed militias. This suggests that lenders are concerned about the repayment capacity of these VSBs when the smooth running of their activities is compromised by such a climate.

Conclusion

The issue of reducing inequalities that is at the heart of promoting financial inclusion is in fact a global issue. However, the challenge of financial inclusion, which is supposed to lead to social inclusion is even more poignant in developing economies because of the size of the informal sector, access to education and health barriers for disadvantaged social strata and even difficulties for women to access decent employment. Concretely, at the entrepreneurial level, an inclusive financial system mobilizes more resources for productive purposes, which leads to higher economic growth, better opportunities, and poverty reduction. Consequently, in the absence of inclusive financial systems, poverty traps can emerge and hinder economic development, as access to the financial tools that enable economic actors to invest, finance projects, or undertake business is restricted.

Thus, low financial inclusion not only hinders the creation of new small businesses, but also hinders the growth of existing VSEs and SMEs. This partly explains why precarious job creation in developing countries is concentrated in low-productivity, overwhelmingly informal microenterprises (Olawale and Garwe 2010).

This reality is compounded by another gender-specific barrier. While financial exclusion is prevalent among many entrepreneurs in developing countries, there is ample empirical evidence that women entrepreneurs tend to benefit less from initiatives to increase financial inclusion than their male counterparts. Available evidence shows that women disproportionately face financial access barriers that prevent them from increasing their entrepreneurial activities.

Disclosure statement

No potential conflict of interest was reported by the authors.

Notes on contributor

Félix Zogning is Associate Professor in the Department of Accounting Sciences at the University of Sherbrooke. His work focuses on themes associated with entrepreneurship,

governance, finance, and accounting. He is also an associate editor of the *Journal of Small Business & Entrepreneurship*.

ORCID

Félix Zogning http://orcid.org/0000-0001-7773-1926

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Félix Zogning
Department of Accounting Sciences, University of Sherbrooke, Sherbrooke, Canada
Felix.Zogning@USherbrooke.ca

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